STATE OF NEW YORK
DEPARTMENT OF PUBLIC SERVICE

Case 19-G-0309 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service.

Case 19-G-0310 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. d/b/a National Grid for Gas Service.

Case 18-M-0270 - Petition for Approval Pursuant to Public Service Law Section 113(2), of a Proposed Allocation of Certain Tax Refunds Between KeySpan Gas East Corp. d/b/a National Grid and Ratepayers.

STAFF POST-HEARING BRIEF

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I. INTRODUCTION

In a July 6 ruling,[1] Administrative Law Judges (ALJs) Maureen Leary and James Costello authorized parties to file post-hearing briefs regarding two narrow and limited issues concerning the Climate Leadership and Community Protection Act (CLCPA),[2] in the above-captioned cases regarding The Brooklyn Union Gas Company d/b/a National Grid NY (KEDNY) and KeySpan Gas East Corporation d/b/a National Grid (KEDLI) (collectively, the Companies). In this Post-Hearing Brief, Staff will address the applicability of the CLCPA, specifically, as to whether (1) the Public Service Commission (Commission) is required to make a finding under section 7 of the CLCPA that adoption of the Joint Proposal will not interfere with the attainment of required Greenhouse Gas (GHG) emission limits and/or goals requiring the reduction thereof, and will not disproportionately burden disadvantaged communities; and (2) whether the Commission must consider the CLCPA in a rate proceeding when approving new gas infrastructure projects to address reliability requirements.

First, based on the language of the statute, Staff believes that §7(2) of the CLCPA can be read as being inapplicable to the Commission's exercise of its ratemaking authority.

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1 Cases 19-G-0309 et al., KEDNY and KEDLI – Gas Rates, Ruling Granting Motion to File Post-Hearing Briefs Related to Limited Issues Under the Climate Leadership and Community Protection Act (issued July 6, 2021) (Post-Hearing Ruling).

2 L. 2019, Ch. 106.

Instead, the focus of §7(2) appears to be on the authority of an agency to permitting and license, and/or directly finance "projects;" for example through the numerous permitting programs implemented by the New York State Department of Environmental Conservation (NYSDEC) and Commission actions pursuant to Article VII of the Public Service law (PSL). Further, when viewed holistically the Joint Proposal includes various proposals that advance energy efficiency programs, continue to repair pipeline leaks, and provide unprecedented levels of review, through the Capacity Demand Metrics, all with the intent of reducing GHG emissions. Thus, assuming, for argument's sake that CLCPA §7(2) applies to the Commission's review of the Joint Proposal, a rate order adopting the terms of the Joint Proposal would comply with CLCPA §7(2).

Second, Staff also believes that CLCPA §7(3) can be interpreted as being inapplicable to the Commission's exercise of its ratemaking authority. CLCPA §7(3) shares a similar statutory construction to §7(2), thus the same analysis applies. In addition, the Climate Action Council (CAC) has yet to finalize criteria to define disadvantaged communities; thus, it is unclear what analysis would be required at this time under CLCPA §7(3), assuming it does apply to the Commission's exercise of its ratemaking authority. Moreover, assuming CLCPA §7(3) applies to the Commission's review of the Joint Proposal, a review of the record in these proceedings supports a finding that the Commission's adoption of the terms of the Joint Proposal would not disproportionally burden disadvantaged communities. Finally, the record in this case demonstrates that the Joint Proposal seeks to mitigate or avoid potential burdensome impacts by prioritizing energy efficiency and demand response efforts.

Third, Staff notes that the effective date of the CLCPA post-dates the filing of the instant cases, and the vast majority of the record developed for administrative litigation purposes in these proceedings. Therefore, even if CLCPA §§7(2) and (3) apply to rate cases, the analysis required by the statute could not have been considered in the instant rate cases. The effective date of the CLCPA after the filing of the vast majority of pre-filed testimony by the Companies, Staff, and intervenors, and the on-going nature of the CAC's efforts to issue recommendations and guidance militate against applying CLCPA §§7(2) and (3) to these proceedings, if they apply to the Commission's exercise of its ratemaking authority in general.

In previously filed statements in support of the Joint Proposal, Staff has already addressed many of the arguments made by the parties in their respective statements.[3] To that extent, Staff will not repeat those same arguments; however, Staff continues to assert that the Initial and Reply Statements already provide the ALJs and the Commission multiple perspectives on the interpretation of the CLCPA provisions.[4]

Accordingly, Staff continues to support the Joint Proposal as a balanced resolution to the issues in these cases; the terms of which provide meaningful solutions and benefits regarding a myriad of issues. Therefore, the Joint Proposal should be adopted by the Commission.

II. BACKGROUND

Over 25 months ago, on April 30, 2019, the Companies filed tariff leaves, initial testimony, and exhibits in support of their request to increase gas delivery rates for the rate year ending March 31, 2021 (Rate Year). Over the course of these proceedings, Staff, the Companies, and other parties have pursued a resolution of these cases on both litigated and settlement tracks.[5] Most recently, on May 14, 2021, the Companies; Staff; Environmental Defense Fund (EDF); Estates NY Real Estate Services LLC (Estates); NY-Geo; Bob Wyman; and the Long Island Power Authority (LIPA), collectively the "Signatory Parties," submitted a Joint Proposal recommending a comprehensive resolution of all issues raised in the above-captioned proceedings. After filing of the Joint Proposal by the Signatory Parties, various parties filed initial statements on June 2, 2021 and reply statements on June 14, 2021 expressing support, opposition, or neutrality regarding the Joint Proposal.

In its Initial and Reply Statements, Staff recommended that the Commission adopt the provisions of the Joint Proposal and establish three-year gas rate plans for KEDNY and KEDLI. On June 21, 2021, an evidentiary hearing was conducted by ALJs Leary and Costello,

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[3] After the Joint Proposal was filed on May 14, 2021, ALJs Maureen Leary and James Costello authorized parties to file Statements in Support of or Opposition to the Joint Proposal (Initial Statements) on June 2, 2021 and Reply Statements (Reply Statements) on June 14, 2021.

[4] Silence on an issue in this Post-Hearing Brief should not be interpreted as a concession or acquiescence, rather Staff's desire to focus this Post-Hearing Brief on arguments not previously addressed.

[5] See, Staff Initial Statement, pp. 1 – 7.

at which witnesses from both Staff and the Companies were subject to cross-examination concerning the Joint Proposal.

On June 25, 2021, Alliance for a Green Economy (AGREE), Sane Energy Project (SEP), Robert Wood, Margot Spindleman, and Benny Woodard (the Movants) filed a motion to file post-hearing briefs.[6] The Public Utilities Law Project (PULP) and NY-Geo filed letters in support of the Movants motion on June 29, 2021 and June 30, 2021, respectively. On July 2, 2021 Staff and the Companies filed opposition to the motion.[7] On July 6, 2021, in their Post-Hearing Ruling the ALJs granted the movants motion and allowed parties an opportunity to file post-hearing briefs. The Post-Hearing Ruling specifically authorized parties' post-hearing briefs to address two limited topics concerning the CLCPA and its applicability to these instant proceedings.[8]

III. ARGUMENT

A. Whether or not Section 7(2) of the CLCPA Applies to the Commission's Exercise of its Ratemaking Authority

Section 7(2) of the CLCPA focus on permitting, licensing, or financing of particular projects. Accordingly, it appears that this provision does not apply to the Commission's exercise of its general ratemaking authority under the PSL §66(12). Section 7(2) of the CLCPA states:

> In considering and issuing permits, licenses, and other administrative approvals and decisions, including but not limited to the execution of grants, loans, and contracts, all state agencies, officers, authorities, and divisions, shall consider whether such decisions are inconsistent with or will interfere with the attainment of the statewide greenhouse gas emissions limits established in article 75 of the environmental conservation law. Where such decisions are deemed to be inconsistent with or will interfere with the attainment of the statewide greenhouse gas emissions limits, each agency, office, authority, or division shall provide a detailed statement of justification as to why such limits/criteria may not be met, and identify alternatives or greenhouse gas mitigation measures to be required *where such project* is located. (Emphasis added).

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[6] Cases 19-G-0309 et al., supra, KEDNY KEDLI Motion for Post-Hearing Brief (filed June 25, 2021).

[7] Cases 19-G-0309 et al., supra, DPS Staff Response to Motion (filed July 2, 2021); Id., Companies Response to Motion (filed July 2, 2021).

[8] Cases 19-G-0309 et al., supra, Post-Hearing Ruling.

As a threshold issue, the Legislature specifically did not use the word "all" to apply to the terms "permits, licenses, and other administrative approvals and decisions, including but not limited to the execution of grants, loans, and contracts." Instead, the Legislature provided a list of non-exclusive approvals and decisions subject to the required analysis; i.e. permits, licenses, and execution of grants, loans, and contracts. None of these examples relate to the Commission's authority to approve rates. This interpretation is supported by the last sentence of CLCPA §7(2), which ties the mitigation measures to the location of "such project." The legislature's use of the term "project" demonstrates its intent to apply the requirements of §7(2) pertain to the permitting, licensing, approval and/or execution of grants, loans, and contracts associated with specific projects. Again, rate cases do not involve any of these types of agency actions.

To be clear, the Commission, through its ratemaking authority, adopts an appropriate level of rates to be recovered from a utility's customers to fund the provision of safe, adequate, and reliable service. As clearly explained during the June 21 evidentiary hearing, the Joint Proposal does not authorize construction or "the execution of grants, loans, and contracts" for any specific project or projects. Instead, the Joint Proposal provides a structure for rate recovery.[9] Should a project fail to receive the necessary permitting by another agency, such as NYSDEC or the New York City Department of Environmental Protection (NYCDEP), the projects would not be built and cost recovery for the construction of those projects would not occur.[10] Moreover, it would be redundant to understand CLCPA §7(2) to require both NYSDEC and the Commission to separately conduct the same analysis of GHG emissions, which would result if the Commission adopted the positions of the Movants with regard to capital expenditure projects such as Vaporizers 13 and 14 at the Greenpoint liquified natural gas (LNG) facility.

The Sponsor's Memo for S.6599 further supports this interpretation of CLCPA §7(2). Specifically, the Sponsor's Memo notes that CLCPA §§7 through 12 "provide for additional authority for state agencies to promulgate greenhouse gas regulations and *require the Department of Environmental Conservation* to consider climate change in *permitting*

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[9] Cases 19-G-0309 et al., supra, June 21, 2021 Evidentiary Hearing Transcript (preliminary), pp. 56 – 60.

[10] Id.

decisions."[11] The Sponsor's Memo gives no indication that CLCPA §7(2) applies to the Commission and otherwise gives the clear impression that the focus is project specific; *i.e.*, the reference to permitting decisions. The emphasis placed on permitting by NYSDEC supports Staff's recognition that the Commission could interpret CLCPA §7(2) as not applying to ratemaking by the Commission. It should also be noted that the CLCPA specifically added PSL 66-p; but makes no other changes to the PSL. To the extent the Legislature intended to place new or additional requirements on the Commission's exercise of its ratemaking authority, the lack of any amendment to Article 4 of the PSL suggests otherwise.

Nevertheless, assuming, for the sake of argument, that CLCPA §7(2) applies to exercises of the Commission's ratemaking function, the statute also appears ambiguous as to what specific analysis is required to meet such requirements. As described above, should the Commission adopt the Joint Proposal, it would only be providing for recovery of rates from customers and specifically would not be approving any capital projects. The statute does not provide a specific process or any guidance directly applicable to the Commission's ratemaking process.

Moreover, assuming the Commission's issuance of a rate order is a decision subject to CLCPA §7(2), it would be appropriate to assess the consistency of the entire rate order with the CLCPA, not specific sections in isolation. Staff believes that the Joint Proposal in its entirety is consistent with the CLCPA's intent to reduce GHG emissions. The Joint Proposal, advances utility implementation of energy efficiency programs, repair of pipeline leaks, and replacement of leak-prone pipe. Repair of identified leaks and replacement of leak-prone pipe provides important public safety and reliability benefits and reduces GHG emissions. The Joint Proposal also provides unprecedented levels of review, through the Capacity Demand Metrics, in advance of allowing cost recovery for the Long-Term Capital Capacity Projects.[12] The Capacity Demand Metrics are a truly unique mechanism whereby the Companies must meet certain energy efficiency, demand response and electrification referral prior to being able to recover some or all of the Long-Term Capital Capacity Projects' carrying costs. To that end, the Joint Proposal prioritizes implementing energy efficiency and demand response programs to moderate

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[11] Sponsor's Memo, Bill Jacket, L. 2019, Ch. 106 (emphasis added).

[12] Staff Initial Statement, pp. 15 – 16.

customer demand over building new infrastructure.[13] Further, any potential impact on GHG emissions should be considered in the context of the Joint Proposal's provisions for the Companies to pursue energy efficiency and demand response, and the Companies' and the Commission's duty to ensure safe, adequate, and reliable service.[14]

Finally, the CLCPA was not intended to be applied in a vacuum. CLCPA §7(2) recognizes and allows that some state agency decisions subject to that provision may be inconsistent with the GHG emission reduction goals of the CLCPA, and yet still be needed. To that end, the CLCPA authorizes projects inconsistent with GHG mandates to be implemented so long as they are accompanied by a "detailed statement of justification" and any "alternatives or [GHG] mitigation measures to be required where such project is located." Additionally, CLCPA §11 states "[n]othing in this act shall relieve any person, entity, or public agency of compliance with other applicable federal, state, or local laws or regulations, including state air and water quality requirements, and other requirements for protecting public health or the environment."

Thus, were CLCPA §7(2) to apply to rate cases, and Staff believes it does not, the Commission would nevertheless be allowed to balance of other, arguably more important, statutory mandates. For example, PSL §30 states "[i]t is hereby declared to be the policy of this state that the continued provision of all or any part of such gas, electric and steam service to all residential customers without unreasonable qualifications or lengthy delays is necessary for the preservation of the health and general welfare and is in the public interest." Thus, the PSL specifically ties the provision of utility service, including gas service, to protecting public health. Indeed, it is not hard to imagine the impact of a natural gas delivery disruption in the middle of the coldest day of the winter, which would result in an immediate public health and safety hazard. Further, foundational to the structure of utility service and regulation in New York State, PSL §65(1) imposes a duty on utilities to provide safe and adequate service, and the Commission's responsibility under the PSL is to ensure that utilities do provide safe and adequate service at just and reasonable rates. With regard to gas service, this includes ensuring that utilities gas systems can reliably meet peak customer demand when temperatures drop and

[13] Id., p. 66.

[14] Id., p. 62.

customers rely on gas service to heat their homes. Again, an inability to maintain the reliability of the gas system would pose a direct impact to public health and safety.

Staff has discussed at length the need of certain projects to act as a backstop to ensure system reliability, while also denoting the priority of the Companies' diligent pursuit of energy efficiency and demand response to moderate demand over building new infrastructure.[15] Accordingly, the record provides a sufficient justification for the Commission to adopt the Joint Proposal.

For these reasons, the Joint Proposal continues to represent a balanced resolution to the issues in these cases; the terms of which provide meaningful solutions and benefits to a myriad of issues. Therefore, the Joint Proposal should be adopted by the Commission as proposed.

B. Whether or not Section 7(3) of the CLCPA Applies to the Commission's Exercise of its Ratemaking Authority

Section 7(3) of the CLCPA shares a similar statutory construction to §7(2) and, as discussed above, is at a minimum ambiguous as to whether it places specific requirements on the Commission's exercise of its ratemaking authority. Since §7(3) contains the same language as §7(2), as described above, pertaining to permitting and licensing, Staff relies on the discussion above to explain why it appears the Commission could determine that CLCPA §7(3) does not apply to the Commission's exercise of its ratemaking authority.

CLCPA §7(3) does not require any specific finding, it merely states that decisions to which it applies "shall not disproportionately burden disadvantaged communities as identified pursuant to subdivision 5 of section 75-0101 of the environmental conservation law." In turn, §75-0101(5) states "'Disadvantaged communities' means communities that bear burdens of negative public health effects, environmental pollution, impacts of climate change, and possess certain socioeconomic criteria, or comprise high-concentrations of low- and moderate- income households, as identified pursuant to section 75-0111 of this article." Finally, §75-0111(1)(b) states that the Climate Justice Working Group "in consultation with the department, the departments of health and labor, the New York state energy and research development authority, and the environmental justice advisory group, will establish criteria to identify disadvantaged

[15] Id., p. 66.

communities for the purposes of co-pollutant reductions, greenhouse gas emissions reductions, regulatory impact statements, and the allocation of investments related to this article."

The required criteria to identify disadvantaged communities have yet to be established. In fact, based on the public meeting presentation for the June 28, 2021 meeting of the Climate Action Council (CAC), efforts to develop applicable criteria for disadvantaged communities have only recently transitioned to the development of draft criteria. The CAC indicated that a three-month public comment process to collect stakeholder and public input will last through November 2021, and criteria will not be finalized until November 2021 or thereafter.[16]

The Joint Proposal was filed in May 2021 with an anticipated effective date of August 1, 2021 for new rates. Based on questions from the ALJ, it appears rates may have an effective date of September 1, 2021. In either case, a Commission decision addressing the Joint Proposal is anticipated before November 2021. In the absence of finalized criteria to allow for the identification of disadvantaged communities as specified in CLCPA §7(3), it is unclear that, even if that section applies to rate orders generally, it could be applied in any concrete fashion to a rate order addressing the Joint Proposal in these proceedings.

Assuming, for the sake of argument, that CLCPA §7(3) applies to the Commission's adoption of the terms and conditions of the Joint Proposal, the record supports a conclusion that the Joint Proposal does not disproportionately burden disadvantaged communities. Moreover, as highlighted at the June 21, 2021 evidentiary hearing, the Joint Proposal prioritizes some benefits for low-income and environmental justice communities, who may be considered "disadvantaged communities" within the meaning of CLCPA §7(3). For example, SEP acknowledged at the hearing that the Joint Proposal provides that "the companies will undertake reasonable efforts to potential projects to transition leak-prone pipe to non-pipe alternatives in low-income and environmental justice communities.[17]

Additionally, while certain parties have focused on opposing rate recovery related to the Metropolitan Reliability Infrastructure project and projects tied to the existing Greenpoint

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[16] Climate Action Council (CAC) June 28, 2021, Meeting Presentation – Meeting 12 https://climate.ny.gov/-/media/CLCPA/Files/2021-06-28-CAC-Meeting-presentation.pdf, accessed July 8, 2021.

[17] Cases 19-G-0309 et al., supra, June 21, 2021 Evidentiary Hearing Transcript (preliminary), p. 70; See also, Joint Proposal, p. 81.

LNG facility, the Joint Proposal does address infrastructure needs and projects across the Companies' service territories, throughout Staten Island, Brooklyn, Queens, Nassau County and Suffolk County. There is no indication or allegation that, in whole, the Companies' proposals "disproportionately burden disadvantaged communities."

As Staff has argued previously, the Joint Proposal conforms with the Commission's standards, while also seeking to wholly avoid or mitigate impacts to potentially disadvantaged communities and should therefore be adopted.

C. The Effective Date of the CLCPA Post-dates the Filing of the Instant Cases

As noted above, these proceedings began with the filing of tariff leaves, testimony, and exhibits by the Companies on April 30, 2019. On June 5, 2019 ALJs Leary and Costello issued a ruling providing a procedural schedule for these proceedings to meet the PSL's 11-month suspension period requirements.[18] Over the course of 2019, Staff, the Companies, and intervening parties complied with the relevant procedural dates through September 2019 at which point the parties commenced settlement discussions on September 24, 2019.[19] On September 27, 2019, ALJs Costello and Leary issued a ruling that the evidentiary hearings would be postponed to allow for settlement negotiations.[20] Ultimately, the evidentiary hearings were postponed until February 2020, and were conducted on multiple days between February 10, 2020 and February 25, 2020.[21] By January 1, 2020, the following rounds of pre-filed testimony had been submitted: Companies' direct testimony, Companies' first supplemental testimony, Companies' corrections and updates testimony, Staff's and intervenors' direct testimony, all parties' rebuttal testimony, and Companies' second supplemental testimonies. There was only one additional round of supplemental testimony filed in January 2020. The evidentiary hearings were based on this pre-filed testimony. Thus, a large majority of the record in these proceedings had been developed prior to January 1, 2020. Furthermore, after the February 2020 evidentiary hearings, the litigation track of these proceedings transitioned to the briefing phase, not the submission of additional evidence.

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[18] Cases 19-G-0309 et al., supra, Ruling on Schedule (issued June 5, 2019).

[19] Staff Initial Brief, pp. 3-4.

[20] Cases 19-G-0309 et al., supra, Ruling Postponing Hearing and Revising Procedural Schedule (issued September 27, 2019).

[21] Staff Initial Brief, p. 6.

In the meantime, the CLCPA was originally introduced via Senate Bill S.6599 on June 18, 2019, the penultimate day of the 2019 Legislative Session. Section 14 of the CLCPA states that the CLCPA will take effect "on the same date and in the same manner… as proposed in legislatives bills numbers S.2385 and A.1564, takes effect." Senate Bill S.2385 which was substituted for Assembly Bill A.1564, was ultimately signed into law and became Chapter 735 of the Laws of 2019.[22] Chapter 735 took effect January 1, 2020. As such, the CLCPA took effect simultaneously, on January 1, 2020.

As discussed above, the Companies originally filed for rates on April 30, 2019 and a significant majority of these proceedings were successfully litigated through 2019 into early 2020. Analysis of the Companies' filings and various rounds of pre-filed testimony were all properly conducted prior to the effective date of the CLCPA. Moreover, as also discussed above, some requirements of the CLCPA remain contingent on the still-in-progress development of criteria by the CAC.

Considering that these rate proceedings began before the passage, let alone the effective date of the CLCPA, and the on-going work of the CAC regarding the provisions of the CLCPA discussed in this brief, the Commission could find that it is inappropriate for CLCPA §§7(2) and (3) to apply to these rate proceedings.

[22] L. 2019, Ch. 735.

IV. CONCLUSION

For the reasons stated herein and in Staff's Briefs and Statements, the Commission should adopt the Joint Proposal in its entirety.

Respectfully submitted,



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Dated: Albany, New York
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